

Printing of Securities and Minting in India

Security Press	Station	Related by
Currency Notes Press (1928)	Nasik	Bank notes from ₹ 1 to 100
Security Paper (Established 1967-68)	Hoshangabad	Banks and currency notes paper
Bank Notes Press (1974)	Dewas	Bank notes of ₹ 20, 50, 100 and 500
Security Notes Printing Press (Established 1982)	Hyderabad	Union excise duty stamps
India Security Press (1992)	Nasik	Postal material, postal stamps etc
Modernised Currency Notes Press (1995)	Mysore (Karnataka) Sarbanī (West Bengal)	

Coins are minted at four places viz, Mumbai, Kolkata, Hyderabad and Noida.

Reserve Bank of India (RBI)

- RBI is the Central Bank of the country. It was set-up on the basis of **Hilton Young Commission** recommendation in April, 1935, with the enactment of RBI Act, 1934. Its first Governor was Sir Osborne Smith.
- The main purpose of creating RBI was to separate currency and credit from GOI. RBI was nationalised in 1949 and its first Indian Governor was CD Deshmukh. The 22nd RBI Governor is Urjit Patel. He was appointed in September, 2016.
- There are 14 Directors in Central Board of Directors besides the Governor, 4 Deputy Governors and 1 Government official. The Headquarter of the RBI is situated in Mumbai.



MONETARY POLICY COMMITTEE

- Government recently approves a six member Monetary Policy Committee, that will set policy interest rates. Out of the six members, three members are from RBI including the governors, who would have a casting vote.
- The other three external members in the committee would be appointed by the government. Besides, the six members, a finance ministry nominee would also take part in the deliberations of the committee to convey the government's view on policy, but he won't have a voting right.

Role of the RBI

Following are the roles of the Reserve Bank of India

- RBI has the obligation to transact the banking business of the union and state governments. Hence, it is banker to the government.

- RBI provides the broad parameters within which the banking and financial system of India functions.
- As the custodian of foreign reserves, RBI is responsible for managing the investment and utilisation of the country's foreign reserves in the best possible manner.
- Credit control is an important tool used by RBI, a major weapon of the monetary policy used to control the demand and supply of money (liquidity) in the economy.

Methods of Credit Control

There are two types of methods of Credit Control

(i) Quantitative/General Credit Control

Quantitative credit control is used to control the volume of credit and indirectly to control the inflationary and deflationary pressures caused by expansion and contraction of credit. *The quantitative credit control consists of*

- **Bank Rate** It is also called the rediscount rate. It is the rate at which the RBI gives finance to Commercial Banks.
- **Cash Reserve Ratio (CRR)** It is the amount of funds that the banks are bound to keep with the RBI as a proportion of their net demand and time liabilities.
- **Statutory Liquidity Ratio (SLR)** It is the ratio of liquid asset, which all Commercial Banks have to keep in the form of cash, gold and **unencumbered** approved securities equal to not more than 40% of their total demand and time deposits liabilities.
- **Repo Rate** It is the rate at which RBI lends short-term money to the banks against securities. Repo rate injects liquidity in the market.
- **Reverse Repo Rate** It is the rate at which banks park short-term excess liquidity with the RBI. Reverse repo rate withdraws liquidity from the market. This is always 100 base point/ 1% less than Repo rate.
- **Open Market Operations (OMOs)** Under OMOs, when the RBI sells Government securities in the market, it withdraws money liquidity from the market and thus, reduces volume of credit leading to control of inflation. When it buys government securities, it injects liquidity into the market and thus, increases credit-volume leading to higher economic growth.

(ii) Qualitative/Selective/Direct Credit Control

Qualitative measures are used to make sure that purpose, for which loan is given is not misused. It is done through credit rationing and regulating loan to consumption etc.

BANKING OMBUDSMAN SCHEME

- The scheme is in operation since 1995 and works under the control and supervision of the RBI.
- The scheme is applicable to all Commercial Banks, RRBs and Scheduled Primary Co-operative Banks.
- The Banking Ombudsman currently have their offices at 15 centres.
- It is RBI's Quasi Judicial Authority for resolving disputes between Commercial Banks, primary co-operative and RRB's and their customers.

Basel Norms

It was in 1988 that the central banking bodies of the developed economies agreed upon the provision of Capital Adequacy Ratio (CAR), also known as the Basel Accord. The accord was agreed upon at Basel, Switzerland. It provides recommendations on banking, regulations with regard to capital risk, market risk and operational risk.

Basel III Guidelines, 2015

- The Reserve Bank of India (RBI) released on 28th May, 2015, the draft guidelines on the Net Stable Funding Ratio (NSFR) under Basel III framework on liquidity standards of banks.
- The NSFR is defined as the amount of available stable funding relative to the amount of required stable funding.
- In draft guidelines released, the Central Bank said that banks will have to maintain Net Stable Funding Ratio (NSFR) from January, 2018.
- Basel III norms define the capital of the banks in different ways. It consider common equity and retained earnings as the predominant component of capital, but restrict the inclusion of items such as deferred tax assets, mortgage service rights and investments in financial institutions to not more than 15% of the common equity component.

Scheduled and Non-scheduled Banks

- The scheduled banks are those which are enshrined in the second schedule of the RBI Act, 1934. These banks have a paid up capital and reserves of an aggregate value of not less than ₹ 5 lakhs.
- Non-scheduled banks are those which are not included in the second schedule of the RBI Act, 1934. They are also subject to the statutory cash reserve requirement. But they are not required to keep them with the RBI; they may keep these balances with themselves.

Scheduled banks are further divided into two banks

- Scheduled Commercial Banks
- Scheduled Co-operative Banks

Scheduled Commercial Banks

Commercial bank is an institution that accepts deposit, makes business loans and offer related services. They cater to the financial requirements of industries and various sectors like agriculture, rural development etc. It includes public sector banks, private sector banks, foreign banks and regional rural banks.

Public Sector Banks

Public sector banks are those where a majority stake is held by the government. It includes Nationalised banks, State Bank of India, IDBI and Bharatiya Mahila Bank.

Nationalised Banks

- From 1st February, 1969, the government imposed social control on banks by introducing certain provisions in the Banking Regulation Act, 1949. It imposed severe restrictions on the composition of the Board of Directors and internal management and administration of banking companies.
- It also introduced restrictions on advances by banking companies. These were intended to ensure that the bank advances were not confined to large-scale industries and big business houses, but were also directed, in due proportion to other important sectors like agriculture, small-scale industries and exports.

NATIONALISED BANKS IN INDIA

- | | |
|--------------------------|-------------------------------|
| 1. Allahabad Bank | 11. Indian Overseas Bank |
| 2. Andhra Bank | 12. Oriental Bank of Commerce |
| 3. Bank of Baroda | 13. Punjab and Sind Bank |
| 4. Bank of India | 14. Punjab National Bank |
| 5. Bank of Maharashtra | 15. Syndicate Bank |
| 6. Canara Bank | 16. UCO Bank |
| 7. Central Bank of India | 17. Union Bank of India |
| 8. Corporation Bank | 18. United Bank of India |
| 9. Dena Bank | 19. Vijaya Bank |
| 10. Indian Bank | |

State Bank of India

- State Bank of India (SBI) was previously called **Imperial Bank of India** in 1921, which was created by amalgamation of 3 Presidency Banks viz, Bank of Bengal, Bank of Bombay and Bank of Madras. It was nationalised in 1955.

State Bank's Group

- State Bank of Bikaner and Jaipur
- State Bank of Hyderabad
- State Bank of Mysore
- State Bank of Patiala
- State Bank of Travancore

Bharatiya Mahila Bank

- The main objective of the bank is to focus on the banking needs of women and to promote their economic empowerment.
- The Union Government on 12th November, 2013 appointed Usha Anantha Subramanian as the first Chairperson and Managing Director of public sector Bharatiya Mahila Bank (BMB).
- The BMB is based on the principle of : 'Women empowerment is India's empowerment'.
 - The Union Cabinet, on 15th June, 2016, approved the merger of 5 associate banks of SBI and Bharatiya Mahila Bank with the State Bank of India. It is the first move to consolidate the country's struggling public sector banks.

Industrial Development Bank of India (IDBI)

IDBI bank is an Indian government-owned financial service company. It is headquartered in Mumbai, India. In the group-wise classification, since 31st December, 2007, IDBI Bank limited has been included in nationalised banks.

Private Sector Banks

All those banks where greater parts of stake or equity are held by the private shareholders are called as **private sector banks**. In India, private sector banks are known with two names; old private sector banks and new private sector banks.

Old Private Sector Banks

The banks which were not nationalised at the time of nationalisation of banks that took place during 1969 and 1980 are known as the old private sector banks. These were not nationalised, because of their small size and regional focus.

New Private Sector Banks

- The banks, which came in operation after 1991, with the introduction of economic reforms and financial sector reforms are known as new private sector banks. Banking Regulation Act was then amended in 1993, which permitted the entry of new private sector banks in the Indian banking sector.
- IDFC Bank started its operation in 2015.
- Bandhan Bank has started its operations in India from 23rd August, 2015.

Top Five Private Sector Banks

Top five private sector banks are as follows

- ICICI Bank, 1994 Vadodara
- HDFC Bank, 1994 Mumbai
- Axis Bank, 1994 Ahmedabad
- Kotak Mahindra Bank, 1985 Mumbai
- Yes Bank, 2004 Mumbai

Foreign Banks

- Foreign Banks are allowed to operate in India through branches and representative offices. A new Foreign Bank desirous of opening a branch in India is required to apply to Reserve Bank of India giving relevant information about its shareholders, financial position and dealings with Indian parties.
- CITI Bank, HSBC, Standard Chartered Banks are some examples of Foreign Banks in India.

Regional Rural Banks

- In 1976, the Parliament enacted the Regional Rural Banks Act, 1976 to provide for the incorporation, regulation and winding up of Regional Rural Banks. The Act has been made effective from the 26th September, 1975.
- The equity of the RRBs is contributed by the Central Government, concerned State Government and the sponsor bank in the proportion of 50:15:35.
- The objective of the RRBs is to develop the rural economy by providing; for the purpose of development of agriculture, trade, commerce, industry and other productive activities in the rural areas, credit and other facilities, particularly to the small and marginal farmers, agricultural labourers, artisans and small entrepreneurs and for matters connected there with and incidental there to.

Scheduled Co-operative Banks

Co-operative banks have also played a limited, but important role in the banking system of the country. *It can be further divided into two banks*

Urban Co-operative Banks

- The UCBs are registered under the Co-operative Societies Acts of the respective State Governments. UCBs having a multi-state presence are registered under the Multi-state Co-operative Societies Act and regulated by the Central Government.
- Besides, the Reserve Bank also has regulatory and supervisory authority for bank related operations under certain provisions of the Banking Regulation Act, 1949 (as applicable to Co-operative Societies).

State Co-operative Banks

- State Co-operative Bank means the Principal co-operative society in a state, the primary object of which is the financing of other co-operative societies in the state.

Payment Banks

RBI has issued license for establishment of 11 payment banks. These banks are allowed to accept restricted deposits but cannot issue loans and credit cards. Such banks operate both current and saving accounts.

Financial Institutions

Financial Institutions are an important part of the Indian Financial System as they provide medium to long-term finance to different sectors of the economy. *Some of the important financial institutions are as follows*

- **National Housing Bank** set-up on 9th July, 1988, to provide a sound, healthy, viable and cost effective housing finance system to all segments of the population.
- **National Bank of Agriculture and Rural Development (NABARD)** for facilitating credit flow for promotion and development of agriculture, small scale industries, cottage and village industries, handicrafts and other rural crafts.
- **Industrial Finance Corporation of India Limited (IFCI)** to provide financial assistance to medium and large industries.
- **Small Industries Development Bank of India (SIDBI)** for promotion, financing and development of small scale industries in the economy.
- **Mudra Bank** provide loans at low rates to small entrepreneurs.

Financial Market

Financial market is an important part of financial sector. It is the market, where financial transactions take place. On the basis of short-term and long-term transactions, *such markets are classified as follows*

Money Market

- The cluster of financial institutions that deal in short-term securities and loans, gold and foreign exchange are termed as money market.
Indian money market is broadly divided into two categories :
 - i. Organised money market which includes call money market, collateral loan market, treasury bill market, commercial bill market, banker's acceptance market, certificates of deposits market, commercial paper market.
 - ii. Unorganised money market includes unregulated non-bank financial intermediaries such as money lenders, chit funds, nidhis etc.

Capital Market

It is one of the most important segments of the Indian financial system. It is the market available to the companies for meeting their requirements of the long-term funds. These are markets for buying and selling equity and debt instruments. It includes stock market.

Stock Market

A stock market, equity market or share market is the aggregation of buyers and sellers of stocks (also called shares). These may include securities listed on a stock exchange as well as those only traded privately.

Major Stock Exchanges in India

The major stock exchanges in India are as follows

Bombay Stock Exchange (BSE)

Bombay Stock Exchange (BSE) is one of the oldest stock exchanges in the world (since, 1875) and the oldest of Asia. The share sensex of BSE includes 30 listed companies. It has indices, viz (i) BSE 200, (ii) BSE 100, (iii) BSE 500, (iv) SENSEX, (v) MIDCAP and (vi) SMLCAP.

National Stock Exchange (NSE)

It was established in November, 1992 on the recommendation of pherwani committee. However, it became a full-fledged stock exchange in 1993 and commenced operations in 1994. In October 1995, it became the biggest stock exchange in India. NSE share sensex includes 50 listed companies.

Approved Stock Exchanges in India

- Vadodara Stock Exchange, Vadodara
- Coimbatore Stock Exchange, Coimbatore
- Bombay Stock Exchange, Mumbai
- Over the Counter Exchange of India, Mumbai
- National Stock Exchange, Mumbai
- Ahmedabad Stock Exchange, Ahmedabad
- Bangalore Stock Exchange, Bengaluru
- Bhubaneshwar Stock Exchange, Bhubaneshwar
- Calcutta Stock Exchange, Kolkata
- Cochin Stock Exchange, Cochin
- Delhi Stock Exchange, Delhi
- Guwahati Stock Exchange, Guwahati
- Hyderabad Stock Exchange, Hyderabad
- Jaipur Stock Exchange, Jaipur
- Mangalore Stock Exchange, Mangalore
- Ludhiana Stock Exchange, Ludhiana
- Chennai Stock Exchange, Chennai
- Madhya Pradesh Stock Exchange, Indore
- Pune Stock Exchange, Pune
- Saurashtra Kutch Stock Exchange, Rajkot

Commodity Exchange

There are six commodity exchanges in India

- i. Multi Commodity Exchange of India Limited (MCX), Mumbai
- ii. National Commodity and Derivatives Exchange Limited (NCDEX), Mumbai
- iii. Indian National Multi-Commodity Exchange (NMCE), Mumbai
- iv. Commodity Exchange Limited (ICEX), Mumbai
- v. ASE, Derivatives and Commodity Exchange Limited (ASE, DCEL), Mumbai
- vi. Universal Commodity Exchange (UCE), Hyderabad

Some Prominent Stock Indices of Famous Markets

Index	Country
Dollex, SENSEX, S&P CNX, NIFTY-FIFTY, BANKEX	India
Dow Jones	United States (New York)
Nikkei	Japan
MID-DAX	Germany
HANG SENG	Hong Kong
STRAITS TIMES, SIHGX	Singapore
KOSPI	Korea
SET	Thailand
TAIEN	Taiwan
SHANGHAI COM	China
NASDAQ	USA

INSURANCE

Insurance has been an important part of the Indian financial system. Until recently, insurance services were provided by the public sector i.e. life insurance by the Life Insurance Corporation of India and general insurance by the General Insurance Corporation and its four subsidiaries.

(i) General Insurance Corporation (GIC)

Established on 1st January, 1973, It has four subsidiary companies, *which are as follows*

- i. National Insurance Company Limited, Kolkata.
- ii. The New India Assurance Company Limited, Mumbai.
- iii. The Oriental and Insurance Company Limited, New Delhi.
- iv. United India Fire and General Insurance Company Limited, Chennai.

(ii) Life Insurance Corporation (LIC)

- Established on 1st September, 1956.
- Head office Mumbai, Zonal offices 7 (Mumbai, Kolkata, Delhi, Chennai, Kanpur, Hyderabad and Bhopal).

Reforms in Insurance Sector

The reforms in the insurance sector started with the enactment of Insurance Regulatory and Development Authority Act, 1999. The Act paved the way for the entry of private insurance companies into the insurance market and also Constitution of Insurance Regulatory and Development Authority. In 1993, Malhotra Committee was set-up to recommend reforms in insurance sector.

Insurance Regulatory and Development Authority of India (IRDAI)

- IRDAI was constituted on 19th April, 2000 to protect the interest of the holders of insurance policies and to regulate, promote and ensure orderly growth of the insurance industry. The authority consists of a Chairperson, three whole-time members and four part-time members.
- It provides for regulating the insurance sector, the authority has been issuing regulations covering almost the entire segment of insurance industry, namely; regulation on insurance agents, solvency margin, re-insurance, registration of insurers, obligation of insurers to rural and social sector, accounting procedure etc.

TAX STRUCTURE

Tax is a compulsory payment by the citizens to the government to meet the public expenditure. It is legally imposed by the government on the taxpayer and in no case taxpayer can deny to pay taxes to the government.

Tax can be direct or indirect, which are as follows

Direct Tax

A direct tax is that tax, which is borne by the person on whom it is levied. A direct tax cannot be shifted to other person.

Some of the direct taxes are as follows

- i. **Income Tax** It is the tax levied directly on the income of the people by the Central Government.
- ii. **Corporate Tax** It is levied on the profit of the companies or corporations. It is the largest source of revenue of the Central Government, covering about 18% of the total revenue.
- iii. **Wealth Tax** This tax is levied on the net wealth of the individuals, Hindu undivided family and joint stock companies. It is a minor source of revenue of the government, primarily imposed to reduce concentration of wealth in the society.
- iv. **Gift Tax** This tax is imposed by the Central Government on all donations and gifts over and above the prescribed limits to the family members. However, donation given by the charitable institutions and companies is not covered under gift tax. This tax is basically imposed to check the evasion of estate duty and wealth tax.
- v. **Interest Tax** This tax is imposed on the interest income of the commercial banks on their gross loans and advances. Presently, it is not in force in India.

Indirect Tax

Indirect taxes are those taxes which have their primary burden or impact on one person, but that person succeeds in shifting his burden on to others.

Direct Tax	Indirect Tax
Personal Income Tax	Excise Duty
Corporation Tax	Custom Duty
Wealth Tax	Sales Tax
Gift Tax	Service Tax
Land Revenue	Value Added Tax
Profession Tax	Passenger Tax
Stamp Duty and Registration Charges	Entertainment Tax
Securities Transaction Tax	Electricity Duty
Banking Cash Transaction Tax	Motor Vehicles Tax